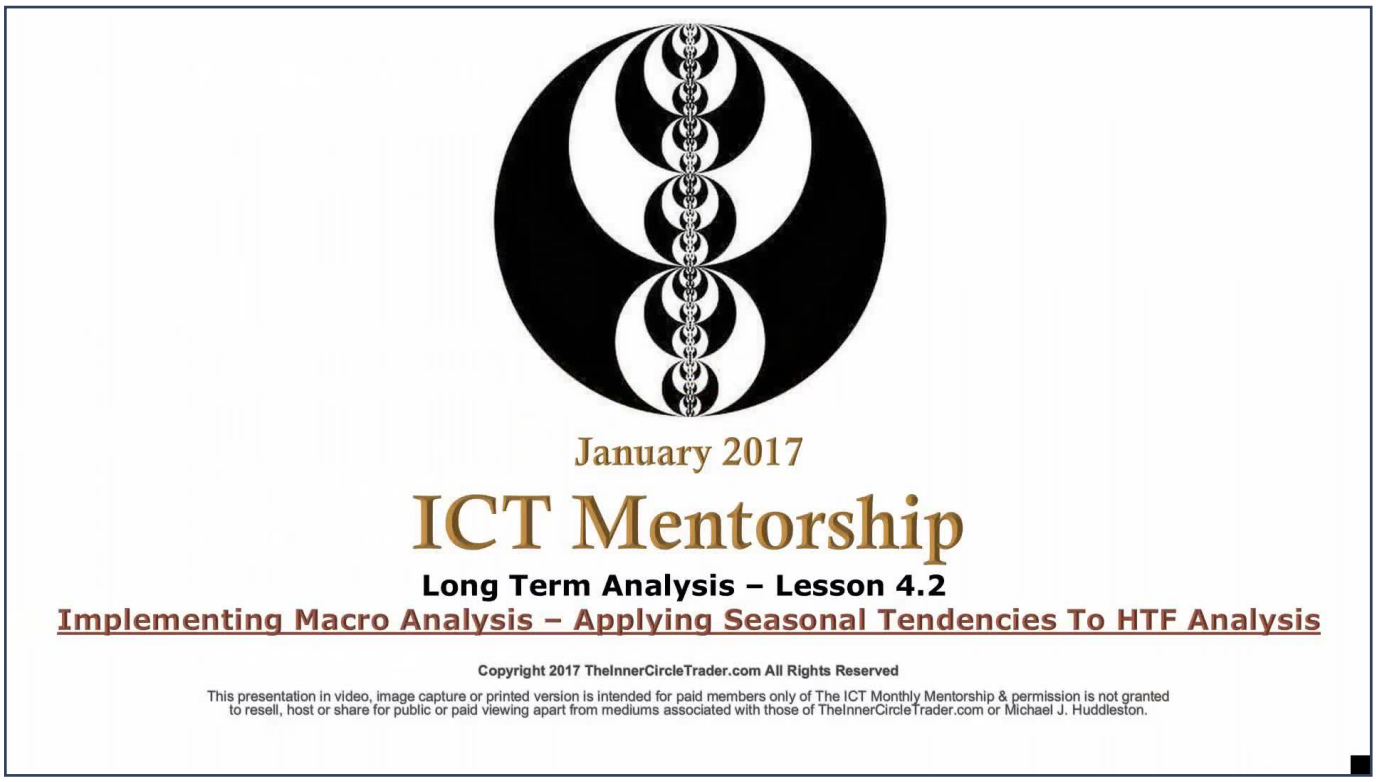
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 05 - HOW TO USE BEARISH SEASONAL TENDENCIES IN HTF ANALYSIS

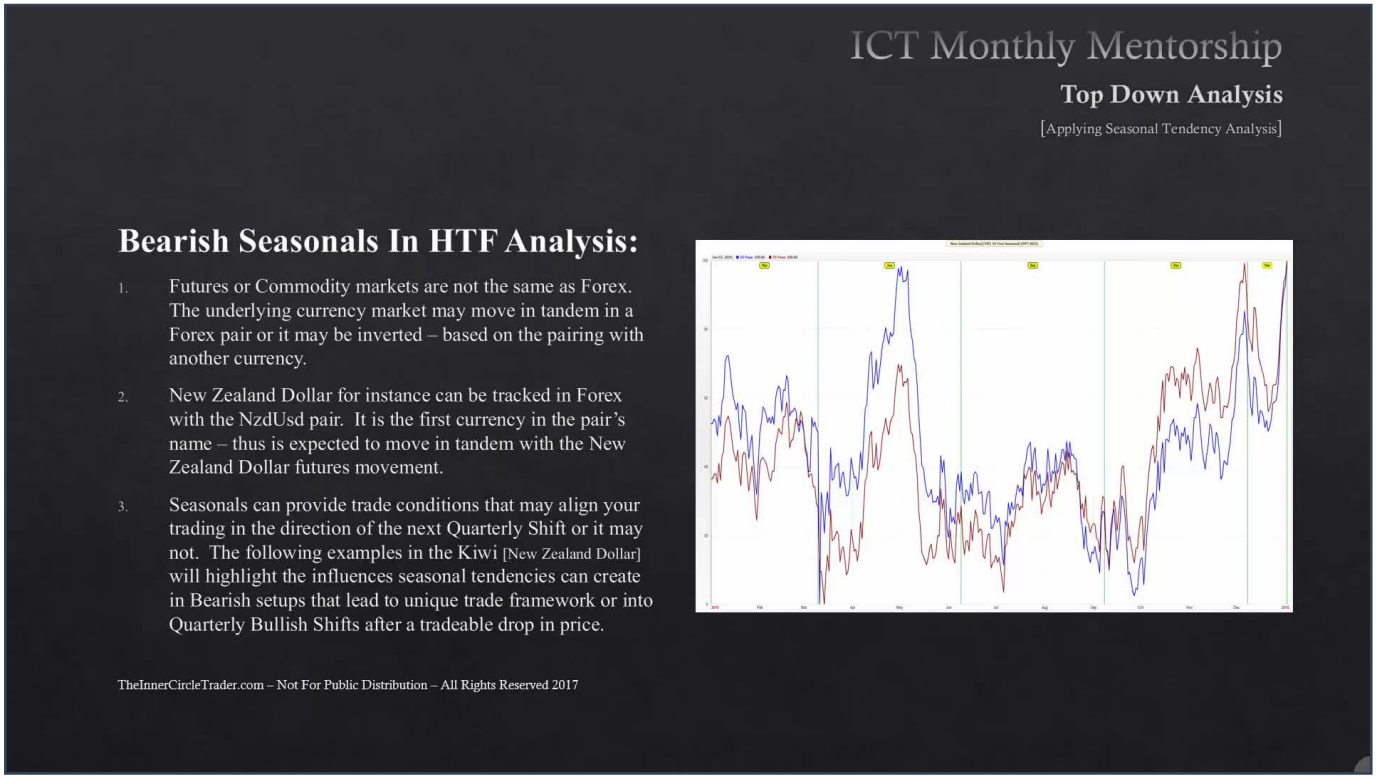


This lesson, 4.2, continues the teaching on applying seasonal tendencies to higher time frame (HTF) analysis. The focus will be on bearish seasonals and their use in HTF analysis, with the New Zealand Dollar (Kiwi) as the market of study.

In lesson 4.1, we looked at the Canadian Dollar. It's important to understand that seasonal tendencies, which are based on futures market data, may not always align directly with a specific currency pair in the spot market. For instance:

- A bullish seasonal tendency for the Canadian Dollar futures contract might translate to a bearish movement in the USD/CAD pair due to inversion. This can be a point of confusion for those rushing through the lesson.

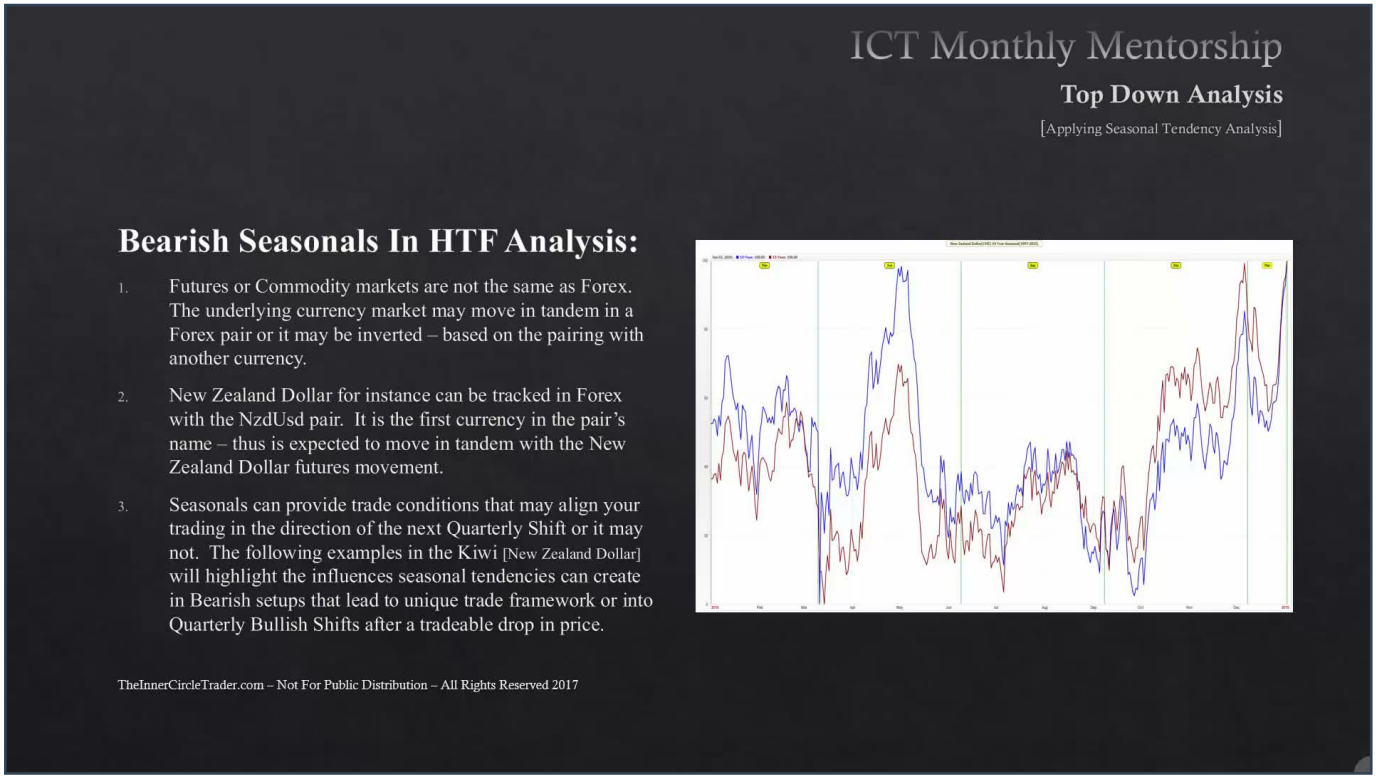
For this teaching, the Kiwi Dollar is chosen because it's a commodity currency. This means its currency is traded as a futures market, and its movement will generally be in tandem with what is expected from the seasonal tendency chart, simplifying the analysis.



This teaching provides a deeper understanding of how seasonal tendencies are employed, especially for calling significant price swings on HTF charts. Many such instances have been witnessed on YouTube and within this mentorship.

The approach to seasonal tendencies in this lesson involves applying bearish seasonals, with a segue into how this helps align with quarterly shifts in the marketplace. Quarterly shifts are the goal of position trading or long-term trading, as these involve powerful moves that occur on monthly, weekly, and daily charts, often spanning hundreds of pips in foreign exchange.

It is beneficial to analyze the marketplace using HTF charts and seasonal tendencies as a roadmap. This provides knowledge of the most probable direction at certain times of the year for specific currencies or markets. Seasonal tendencies are not limited to foreign exchange but require extensive study and data compilation across various assets.



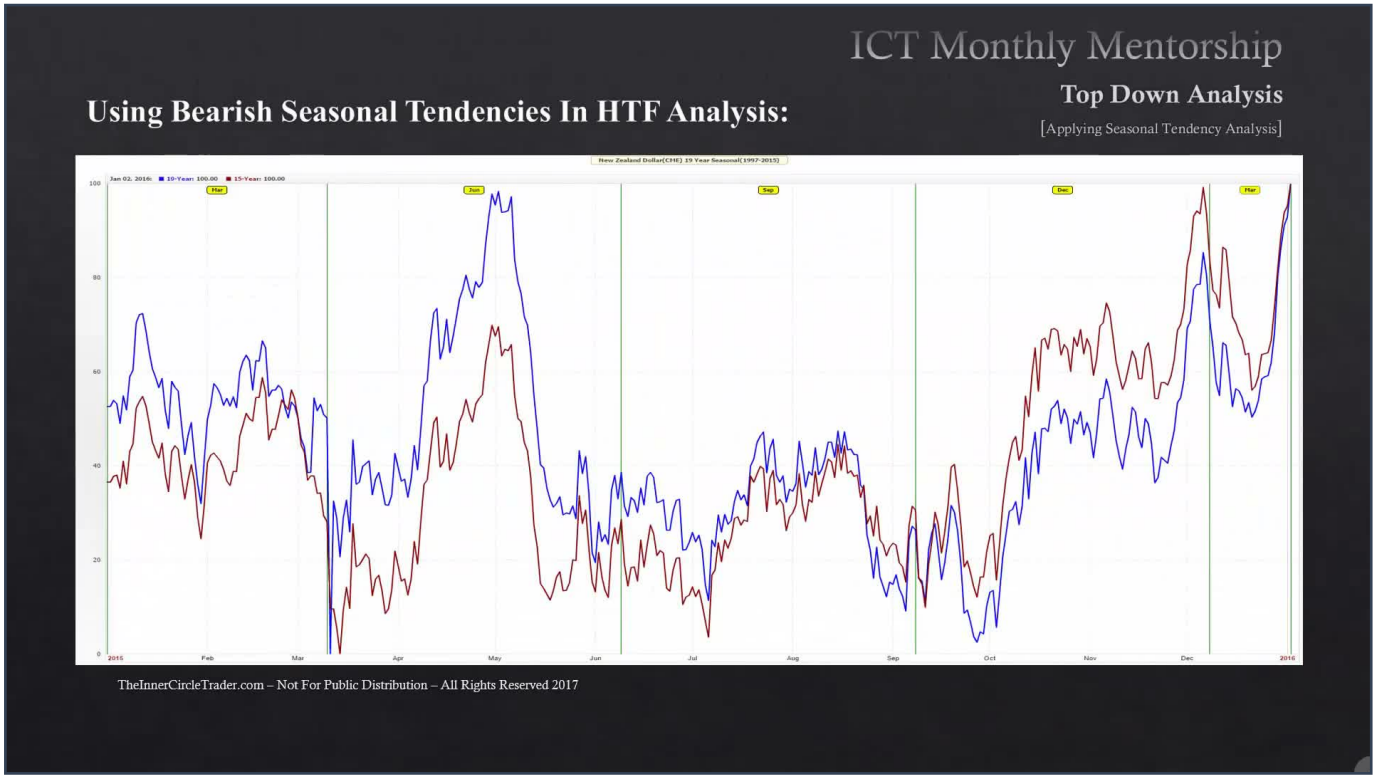
To highlight a seasonal tendency where it rests most predominantly, one must observe the seasonal chart:

- The chart displays a blue line, representing a long period of data, and a red line, representing a shorter period of data.

- When both lines move in tandem, meaning they are moving in the same direction (up or down) at a particular time, it indicates a high-probability seasonal tendency.

- Conversely, if the chart appears muddy and choppy, with lines moving back and forth divergently, it suggests a lesser likelihood of a clear seasonal tendency.

Upon a quick review of the Kiwi Dollar seasonal chart, it becomes evident which times of the year typically show a significant decline in price and which times show a significant increase.



Zooming in on the chart, the objective remains to identify conditions that could set up a quarterly shift—a move potentially lasting two to three months. By using HTF charts, the aim is to pinpoint an area for capturing several hundred pips in a long-term position trade. This aligns with the institutional mindset regarding market direction on HTF charts, as smart money entities primarily drive price movements at this scale.

When a seasonal tendency for the market to rally or decline consistently appears over a large sample size of data, it indicates a high probability. For the Kiwi Dollar chart:

- The blue line represents 19 years of data.

- The red line represents 15 years of data.

- The consistency between these two lines shows that seasonal tendencies are largely 'locked in tandem', presenting a similar scenario over time.

Kiwi Dollar futures are traded in specific contract delivery months:

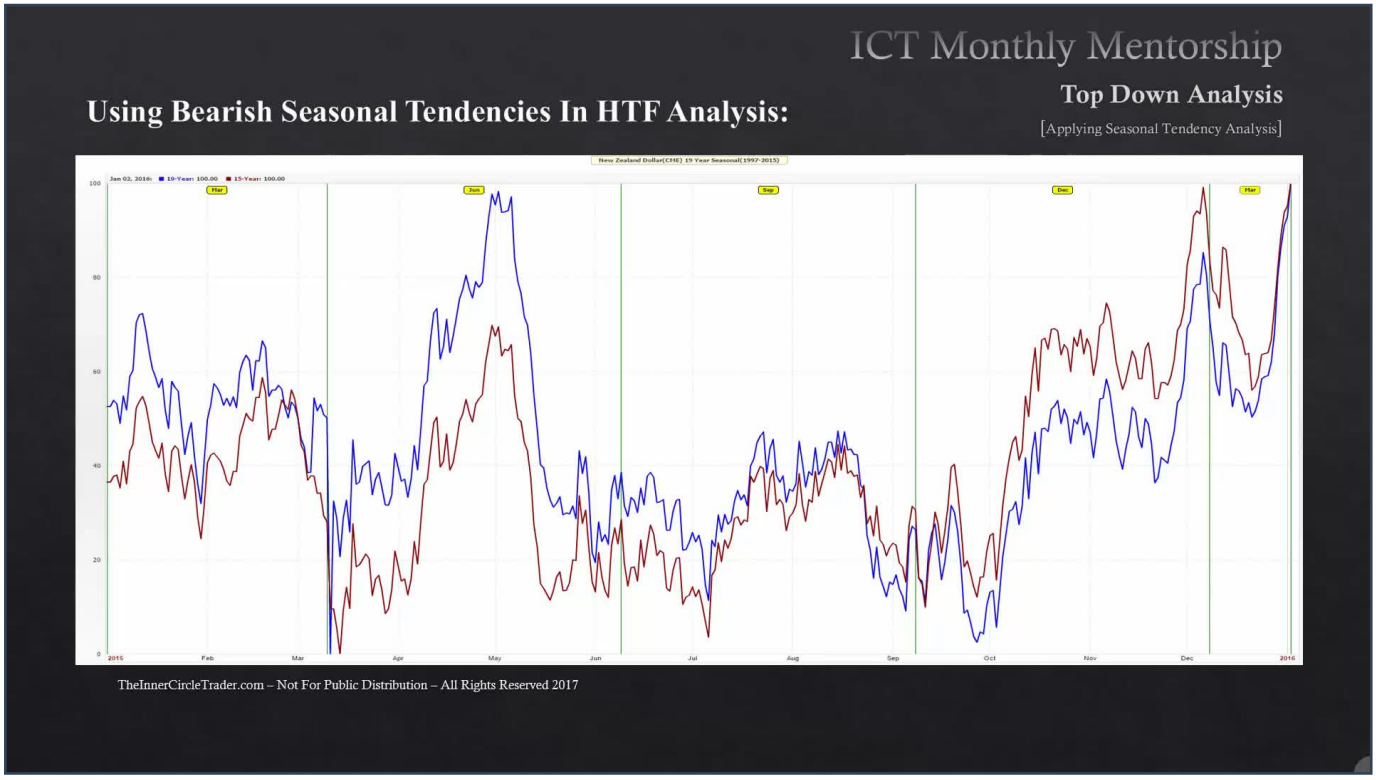
- March contracts

- June contracts

- September contracts

- December contracts

Among these, the June contract shows the strongest tendency to rally and decline within the same contract month (from the first to the last trading day). The December contract also displays a very strong tendency to rally late in the year. Therefore, when trading the Kiwi, focusing on the June and December contracts is paramount due to their powerful seasonal tendencies.



While March and September contracts may also present setups leading into the stronger June and December moves, it's crucial to remember that seasonal tendencies are roadmaps, not panaceas or infallible predictions. They reflect historical price behavior year after year based on compiled data over a large sample size.

These patterns will not occur every single year. To illustrate this, a historical review from 2007 up to the present (2016) will examine the influence of these seasonal tendencies. The goal is to see how, hypothetically, this information could have been used to align with quarterly shifts or identify unique trade setups.

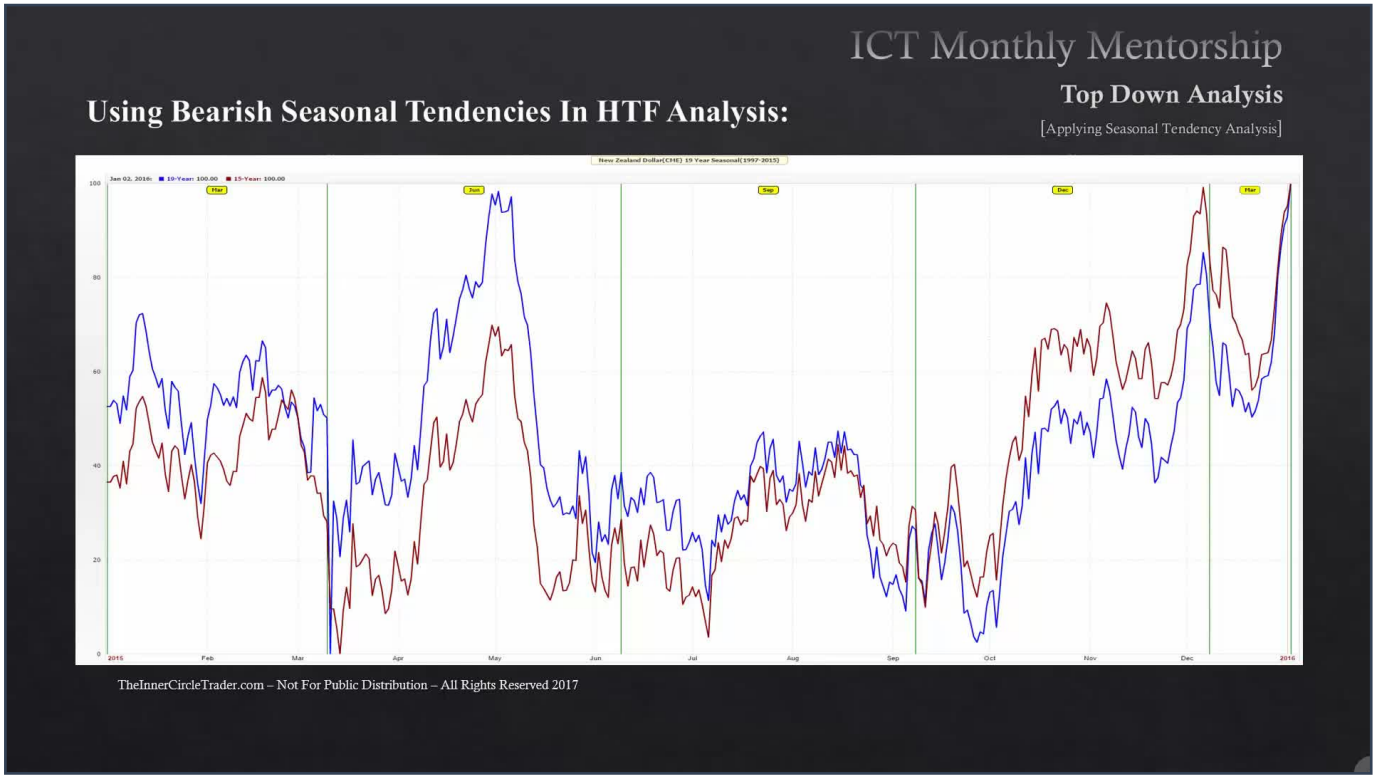
Since the primary focus is on bearish conditions, we will look for periods where the market is most likely to experience a significant price drop. Reviewing past years helps build confidence in the long-term validity of these seasonal tendencies. It's important to note:

- This study focuses on the New Zealand Dollar futures contract.

- While not expecting exact pip-for-pip movements, the foreign exchange market generally moves in the same direction as the futures market. There will be slight differences, but by and large, the overall direction remains consistent.

- This understanding allows for sober analysis, identifying high-probability conditions for selling Kiwi at

specific times of the year based on historical and seasonal tendencies.



The core idea is to use bearish seasonal tendencies to align with long-term bullish quarterly shifts. While it might seem counterintuitive to focus on bearish tendencies for a bullish shift, it provides a strategic approach.

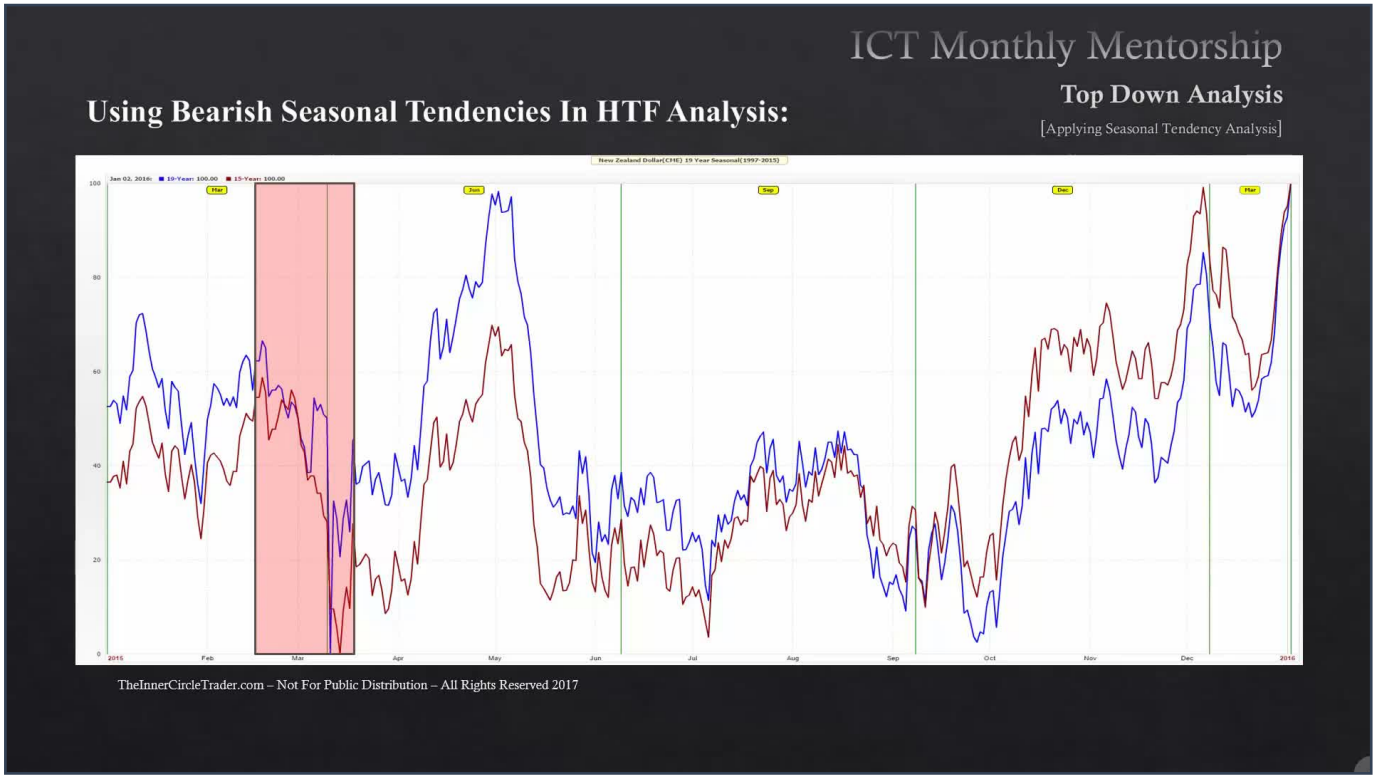
Looking at the seasonal chart, several key bearish periods are noteworthy:

- Mid-February to Mid-March: This is a very significant time point where both the 19-year (blue line) and 15-year (red line) seasonal tendencies show a strong decline for the Kiwi Dollar. This consistency across different data periods indicates a high probability of a price drop.

- May: After a rally in April, the market tends to make a high in May, followed by another sell-off.

- Mid-August to October: Another period where the market generally sells off.

The seasonal tendency compilation is a historical record of what these months (March, June, September, December delivery contracts) have generally delivered in terms of price movement. When both the longer-term (19-year) and shorter-term (15-year) data agree on a sizable price swing, it presents a good chance for that decline to materialize.



Observing the Kiwi seasonal tendency chart, a detailed cycle unfolds:

- Mid-March to April: Following the mid-February to mid-March decline, the market tends to show a significant rally during this period, often extending up to May.

- May High and Sell-off: Both 19-year and 15-year seasonal tendencies show that the market typically makes a high in May, followed by another bearish sell-off.

- June/July Low and Bullish Bounce: The market enters a period of consolidation around June/July, making another seasonal low, from which it then tends to bounce bullishly.

- Mid-August to October Sell-off: After the summer rally, the market often sells off again around mid-August, continuing down into October.

- September/October Strong Buying Opportunity: Around this time, the market generally establishes a significant bullish point, presenting a large degree of buying opportunity for traders. This makes September-October a prime time to consider buying the Kiwi.

When using seasonal tendencies, it is crucial to not force them onto the charts. For example, don't blindly sell in May just because the seasonal chart suggests a high. Instead, look for technical confirmations:

- Are we in a bearish market structure?

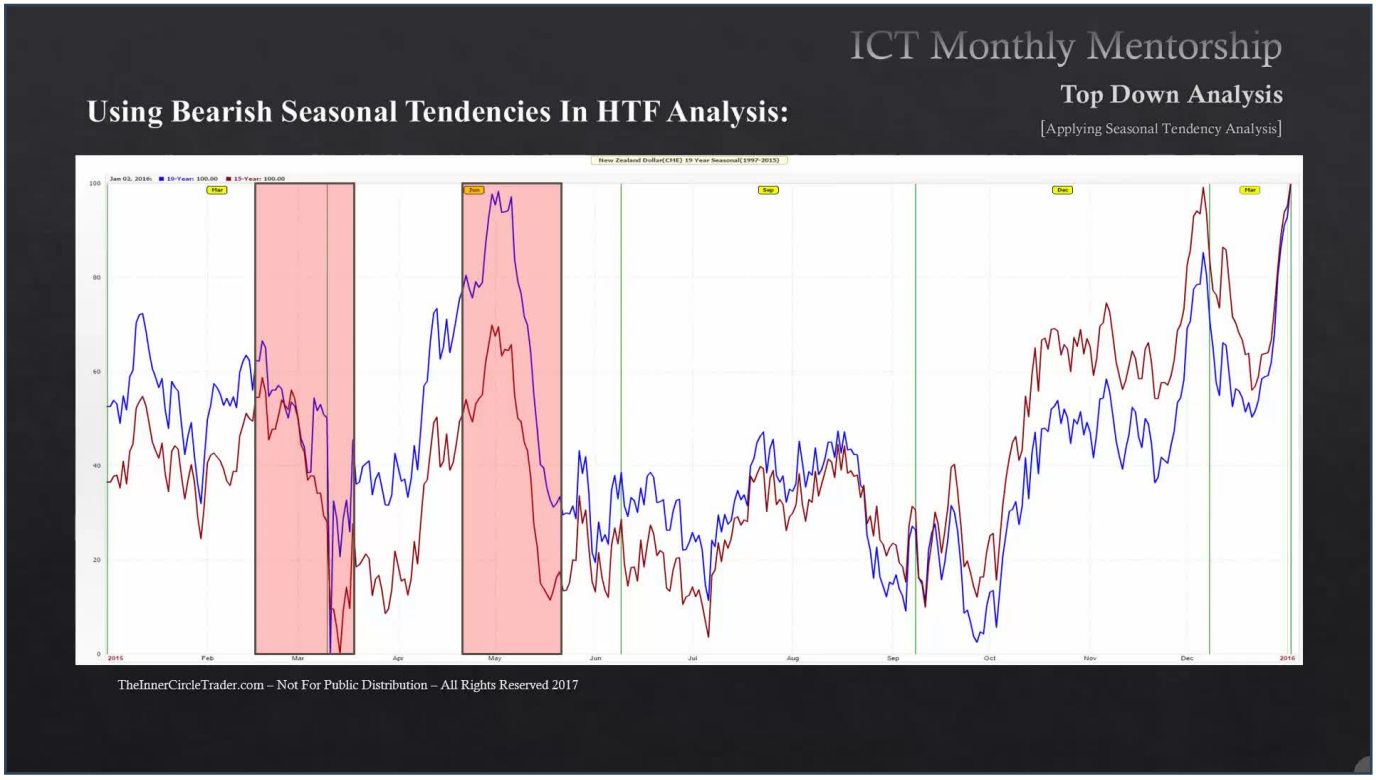
- Did price rally into a bearish order block?

- Did price run an old high?

- Is there a market structure break?

- Has price been moving up for two to three months, making it likely for a sell-off due to an overbought premium market?

Seasonal tendencies are tools to be lined up with current market conditions, providing strong probabilities, not guarantees. They are not a shortcut to riches but a framework for identifying high-probability market turns.



The key is to integrate seasonal tendencies with current market conditions and technical analysis. Do not force the idea that a specific seasonal tendency must occur; instead, look for technical support for that tendency. This means asking if there's something technically in price that would support the seasonal outlook, like:

- Rallying into a bearish order block.

- Running an old high.

- A market structure break.

- A market that has moved up for an extended period (2-3 months), becoming an overbought premium market, signaling a likely breakdown.

Beyond long-term position trading, several shorter-term bearish opportunities can be observed on the chart:

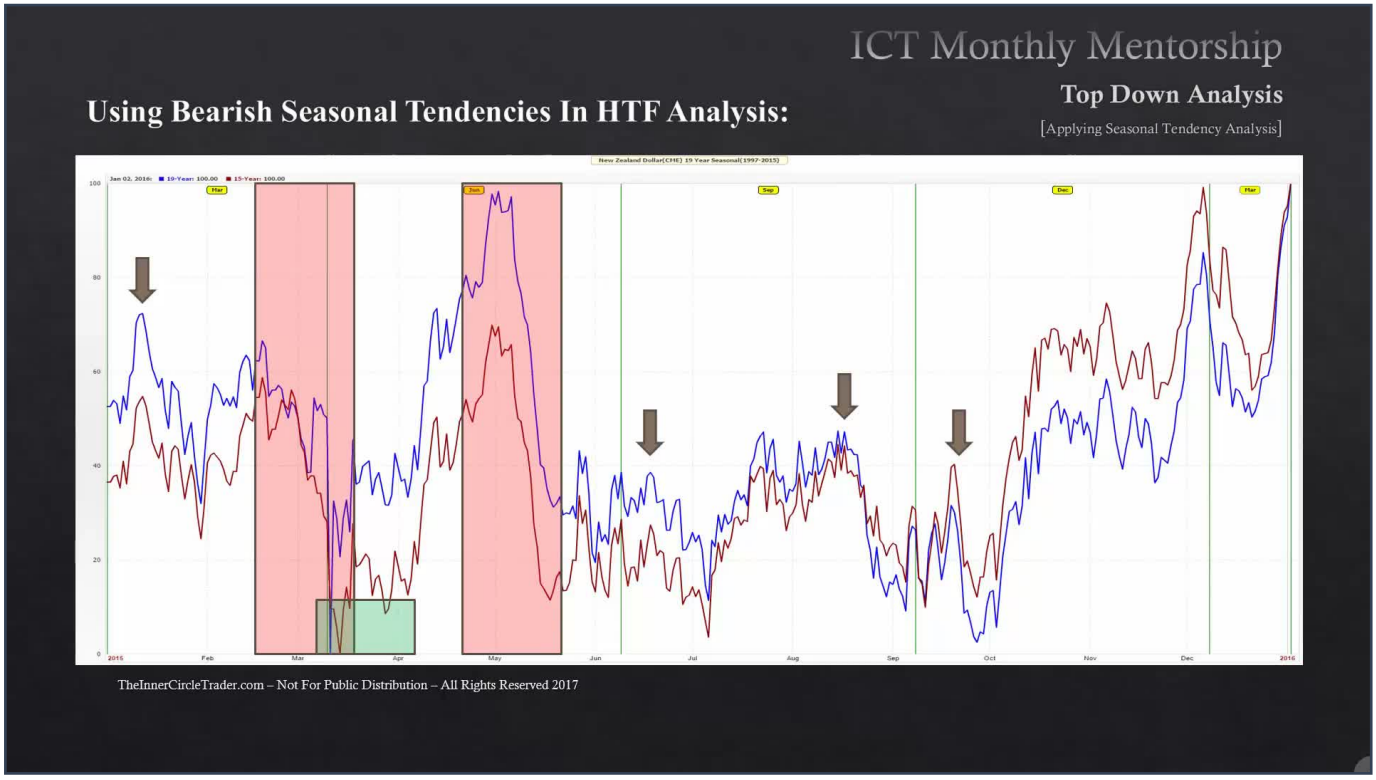
- Early January to February: A typical sell-off.

- Mid-June to First/Second Week of July: Another sell-off where both blue and red lines agree.

- Mid-August to September/October: A sell-off leading into the fall lows.

- Mid-September to October: A smaller, short-term drop that often sets up a very strong buying opportunity.

For a quarterly shift trader, understanding these bearish seasonal tendencies is crucial. Even when shorting during these periods, it's vital to be mindful that around September-October, the Kiwi generally has a very strong tendency to rally. Therefore, one can either trade these bearish ideas directly or anticipate them as setups leading into the next bullish quarterly shift opportunities.



This teaching will demonstrate both approaches: trading bearish seasonals and using them as guides. We'll examine the period from 2007 to 2016. If focusing on bullish quarterly shifts for the Kiwi, mark these key periods:

- March to April: Generally makes a low, setting up a bullish move.

- June to July: Expected seasonal low, leading to a buying opportunity.

- September to October: Strong tendency to be a buyer.

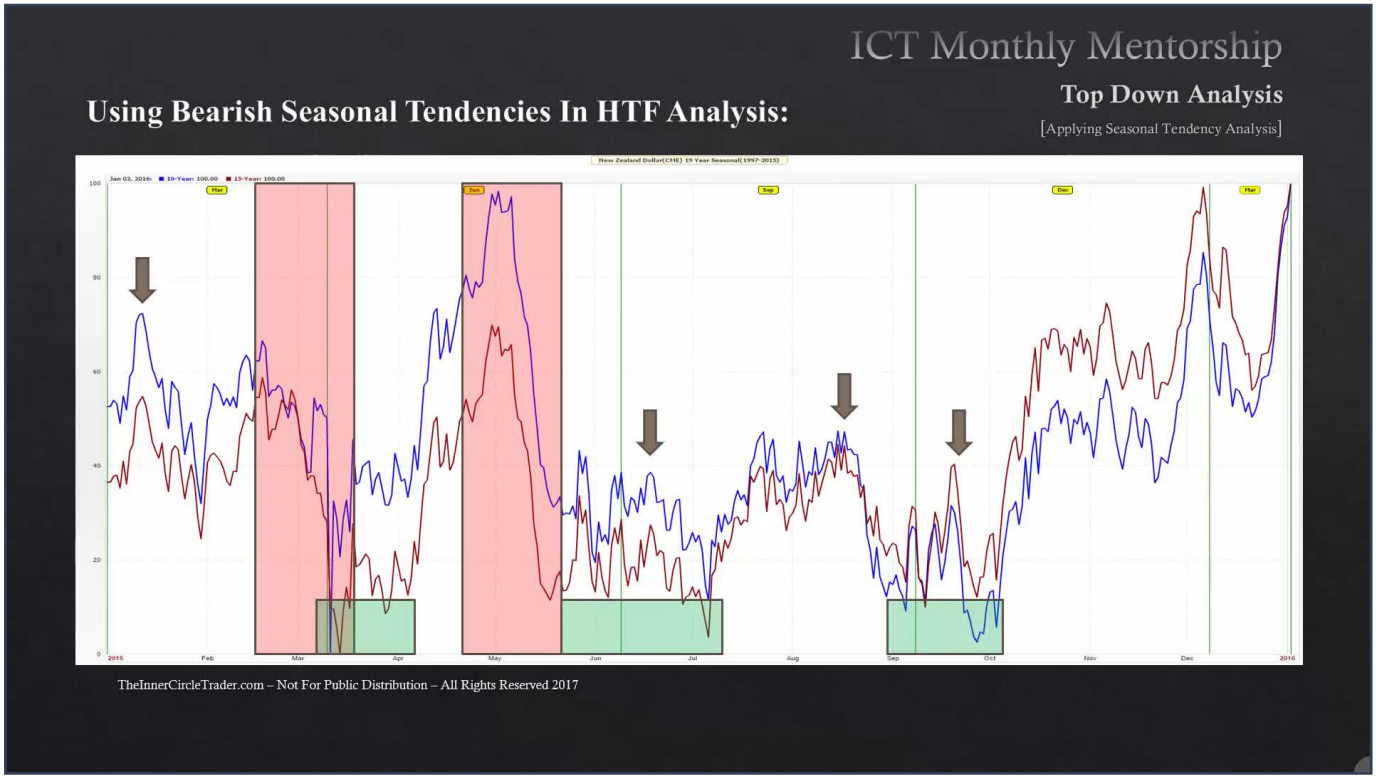
- Last week of November into first week of December: A nice buying opportunity.

These periods outline a general roadmap for the Kiwi Dollar's 12-month cycle. Think about the significance of knowing the macro view of what the Kiwi Dollar generally does over a year. Depending on the market conditions of that particular year, one seasonal tendency will be favored over others.

- In a bullish market, the March-April, June-July, and September-October periods will be phenomenal buying opportunities.

- In a bearish market, mid-February to mid-March, May, and August can create amazing sell-offs, leading down to the fall lows.

As we review the historical charts, keep these reference points in mind: the strong buying opportunities (March-April, June-July, Sep-Oct) and the selling scenarios (Feb-March, May-June, Aug-Sep).



Let's begin with the 2007 Kiwi price chart, starting from December of 2006 to capture the full year.

- Mid-February into March: We observed the expected weakness and bearish scenario, leading to a significant decline of several hundred pips.

- May: A small decline also materialized, aligning with seasonal expectations.

Crucially, these bearish sell-offs set up subsequent bullish opportunities:

- March-April: This period created a very low point, leading to a substantial upward move of several hundred pips, aligning with the expected bullish scenario.

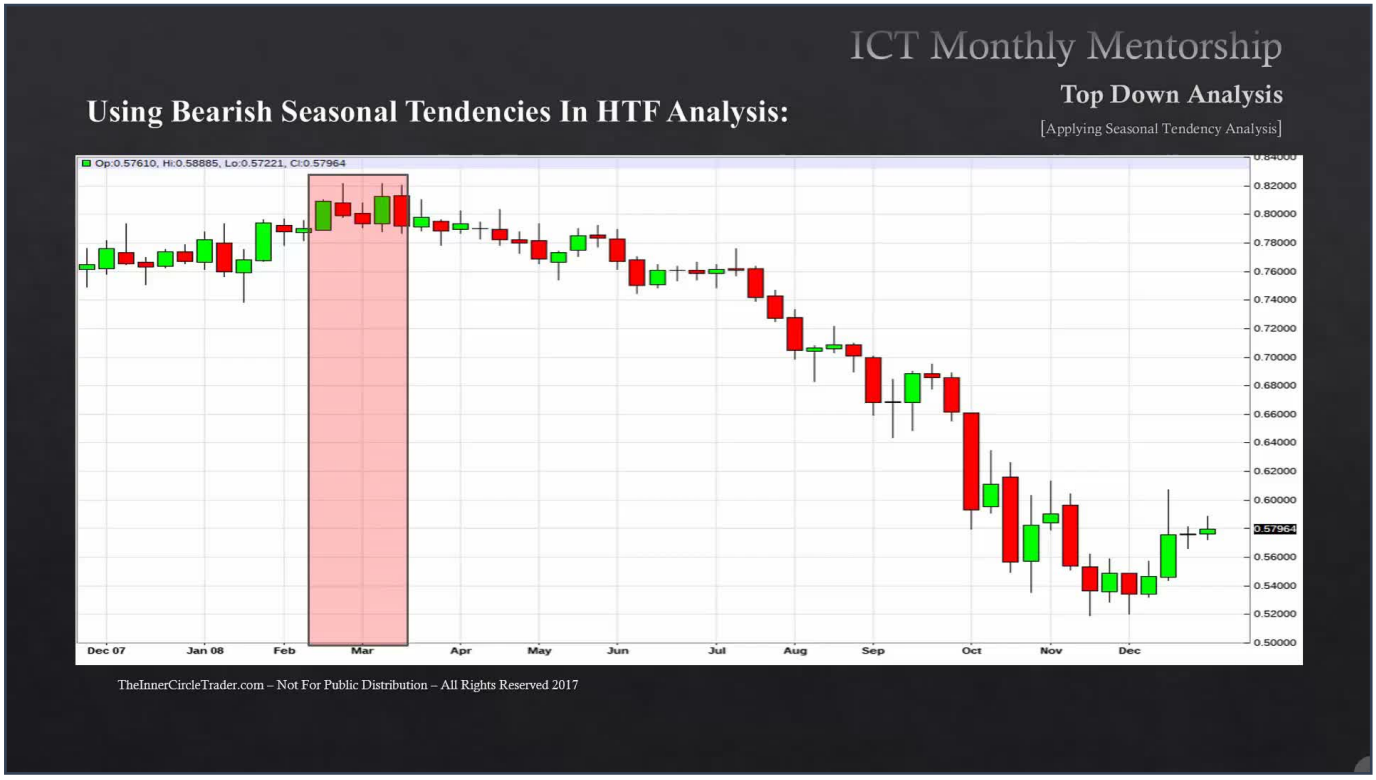
- June: Following the May decline, June initiated a rally that propelled price all the way up to the 81 big figure – a huge move.

- September-October: The market experienced a dip into the September period, where the seasonal tendency to rally in September-October became evident, leading to another strong upward move.

This demonstrates that all seasonal tendencies have some measure of influence. However, it is essential to consider the current market conditions for that specific year, as we are not merely trying to force a

seasonal tendency onto price. We are looking for clues to justify why one scenario would be more inclined to unfold than another.

Years can work in concert, with bearish moves leading into bullish moves, and vice versa—a perfect market symmetry that, while rare, can be astonishing when it occurs. Looking ahead to 2008, it serves as a reminder that larger macro events can sometimes override seasonal expectations. In 2008, the financial meltdown led to a sustained bearish trend across foreign currencies, including the Kiwi, which continued to decline for the rest of the year.



Here's a look at Kiwi's price action from 2008 to 2011:

- 2008: The financial meltdown meant a prevailing bearish sentiment across all foreign currencies, and Kiwi was no exception. Mid-February to mid-March and May created highs, but the market largely kept falling throughout the year, overriding typical seasonal bullishness. This highlights that big-picture macro events take precedence over short-term or even quarterly seasonal effects.

- 2009:

- Mid-February into March: The sell-off here amounted to a 600-pip decline, leading into the March-April bullish scenario, which proved to be a very strong buying opportunity.

- May: No decline on the bearish side was observed.

- June-July: A consolidation occurred, with July leading to a rally into late fall October highs.

- 2010:

- Mid-February to March: The market was basically flat, showing neither bullish nor bearish seasonal tendency.

- May Decline: A significant 700-pip decline occurred, which, again, set up the June-July bullish seasonal tendency that took off and sent price higher.

- August to October: August saw a small decline (bearish seasonal tendency) retracing back into a bullish order block (around the 70 big figure), then rallied 950 pips. The September-October period gave another leg higher from 74.00 to 79.50, totaling 550 pips, all using seasonal tendencies as a roadmap.

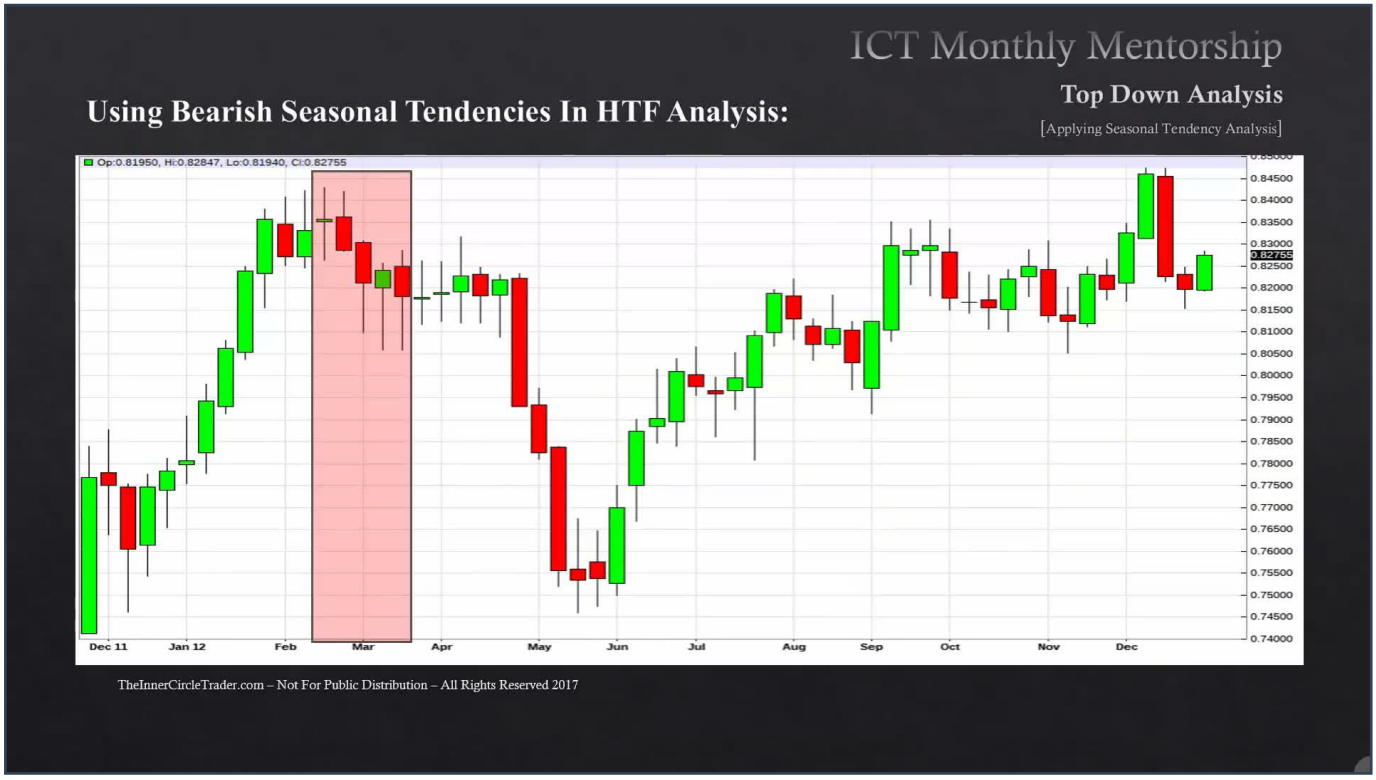
- 2011:

- Mid-February to Mid-March: A nice decline, leading directly into the bullish March-April seasonal tendency, which then produced a huge extrapolated rally.

- May: A small decline of about 350 pips, finding support by trading back down into the January highs (old resistance turning support), setting up another leg higher.

- June-July: A nice seasonal low formed off a previous down candle (bullish order block) around the 80 big figure, leading to an 800-pip rally.

- September-October: A swing from 75.00 to 82.00, yielding 700 pips.



Continuing the historical review of Kiwi's price action:

- 2012:

  - Mid-February to Mid-March: A decline of about 400 pips materialized.

- May: A very significant sell-off occurred, with price moving almost 800 pips on the downside. This decline then set up the June seasonal low.

- June Low: The market took off from June lows (75.00) all the way up to 84.50, representing a massive move.

- 2013:

  - Mid-February to Mid-March: We observed a decline of several hundred pips.

- May: Another decline occurred, leading into our bullish June-July low, from which the market rallied away.

- 2014:

- February-March: No bearishness; the market was in consolidation and rallied out of it, suggesting continuation rather than a bearish seasonal move.

  - May: A retracement took place, which led to a June rally, creating a high up at the 88 big figure.

- Mid-August: A sell-off, aligning with the bearish opportunity discussed earlier, taking price down into October, demonstrating the seasonal tendency taking effect.

- 2015:

  - Mid-February to Mid-March: A small move down.

  - May: The seasonal decline occurred.

- June-July: The weakness continued, leading into the next bullish scenario, the September-October quarterly shift.

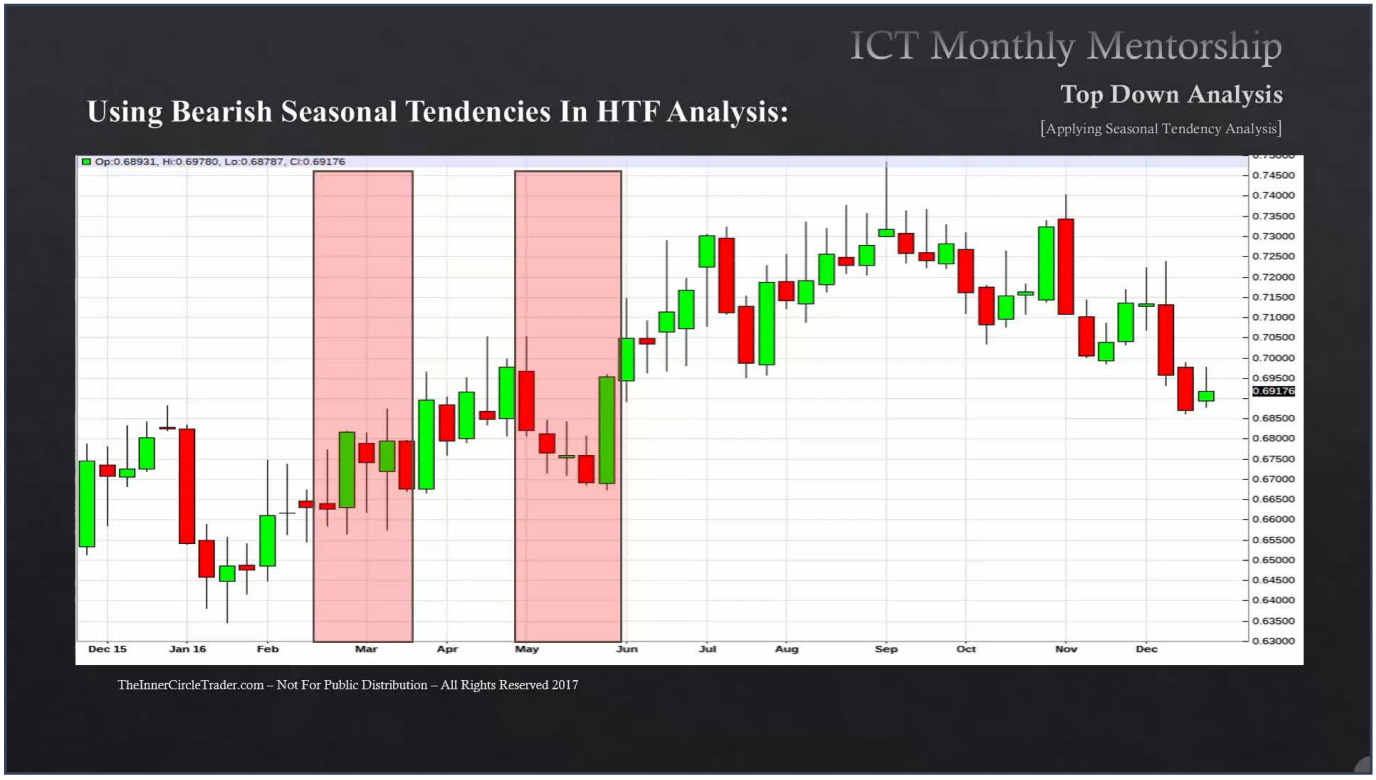
- September-October: This period delivered a really nice rally from the 60.50 level up to the 68.50-69.00 level, a very handsome rally.

- 2016:

  - Mid-February to Mid-March: Unchanged consolidation, with no significant action.

- May: A decline occurred, which came down into previous bullish order blocks and then rallied away, creating another higher high up to 74.50.

- May Decline into June: The market rallied from the 67 big figure all the way up to almost 75.00 (7500 points), representing rather significant price moves.



As a closing thought, consider how these ideas provide a roadmap for the general direction of price and, more importantly, when significant price moves usually occur. Unlike indicators that might show divergence but not specify when it will happen, seasonal tendencies provide a specific time element, which most traders lack.

Now, with this detailed exposure, you can blend time and price with quarterly shifts and seasonal tendencies. A strong tendency for the market to react emerges when several factors come into confluence:

- A seasonal tendency suggesting bullish prices.

- The market is already predisposed to go higher (in a bullish market).

- It's during a time of day when the market should be bullish.

- Interest rates are supporting that bullish idea.

- The Dollar Index is also in alignment.

When all these elements dovetail, they create a beautiful tapestry leading to a profitable outcome in your analysis. Sticking to these types of trades leads to success. You don't need many trades throughout the year. Notice there isn't a lot of overlapping between these opportunities.

Specific currency pairs have their own seasonal tendencies, though they will ultimately yield to the Dollar Index. A future lesson (4.3) will explore the Dollar Index's seasonal tendency and its application. Be encouraged by this powerful knowledge, but avoid overexcitement. These seasonal tendencies, when used in the right context, offer an analytical perspective most traders cannot attain.

Everyone focuses on price action alone. However, looking at what price has done historically – hindsight – is a goldmine of information. It reveals what should take place, demonstrating that markets often move by a certain script, repeating patterns.

For example, in 2016, Kiwi did not show bearishness in mid-February to mid-March but consolidated and rallied away. It fell in May, but only to a mid-consolidation point (around 67 big figure), then rallied higher. During 2016, the New Zealand Dollar, like the Aussie Dollar, was notably strong and going higher when other pairs moved lower against a strong Dollar.

Seasonal tendencies can guide day traders and short-term traders to align with long-term position trades on HTF seasonal tendencies. By the end of this mentorship, you'll be able to dissect any market or asset class, identify opportunities, or know when to sit on the sidelines. Having seasonal tendencies in your toolbox tells you when to look for setups heavily loaded in your favor, as these times of the year historically produce significant price moves. Focusing on these setups frames high-probability conditions, giving you a directional bias tool for any trading discipline – swing, short-term, day trade, or scalp.